

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 26-06

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

WAN HAI LINES, LTD.

Respondent.

**JOINT MOTION FOR APPROVAL AND CONFIDENTIAL TREATMENT
OF SETTLEMENT AGREEMENT**

Complainant Samsung Electronics America, Inc. (“SEA”) and Respondent Wan Hai Lines, Ltd. (“Wan Hai”) (SEA and Wan Hai together, the “Parties”) respectfully submit this Joint Motion for Approval and Confidential Treatment of Settlement Agreement in support of the Confidential Settlement Agreement and Mutual Release (the “Agreement”) filed under seal concurrently herewith. The Parties believe that the Agreement meets the criteria set by the Federal Maritime Commission (“FMC” or “Commission”) for the approval of settlement agreements and therefore should be approved. The Parties further request that the Agreement be treated confidentially and filed under seal.

I. INTRODUCTION

This proceeding commenced when Complainant SEA filed a Verified Complaint, which was served on May 20, 2026. Dkt. No. 1. The Complaint alleges violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101, *et seq.* (the “Shipping Act”) based on Wan Hai’s alleged failure to perform inland transportation obligations on “store door” shipments, and other acts and omissions that resulted in damages, such as unreasonable costs, demurrage and detention charges, and delay. Complainant seeks at least \$1.2 million in reparations for those injuries, plus prejudgment interest, recovery of additional costs borne by SEA to perform Wan Hai’s inland transportation obligations, and lost revenues in an amount to be calculated. Wan Hai denies SEA’s claims set forth in the Verified Complaint.

Following the completion of briefing on Wan Hai’s Partial Motion to Dismiss and for Entry of an Order Requiring the Filing of an Amended Complaint (Dkt. Nos. 10, 11, 12), the Parties engaged in settlement discussions and have reached an agreement, which is embodied in the Agreement filed in connection with this Joint Motion.

II. THE CONFIDENTIAL SETTLEMENT AGREEMENT SHOULD BE APPROVED

“The Commission has a strong and consistent policy of ‘encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.’” *Aeneas Exporting LLC v. Carlo Shipping Int’l, Inc.*, Docket No. 20-11, 2020 WL 5942148, at *2 (FMC Sept. 29, 2020) (quoting *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002)). “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. US. Atl. & Gulf/Australia - New Zealand Conf. and Columbus Line*,

Inc., Dkt. Nos. 88-2, 88-4, 1988 WL 340657 at *7, 24 S.R.R. 1129, 1134 (Aug. 12, 1988)). “Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *Mac Indus., Inc. d/b/a Mac Container Line v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 2009, 2020 WL 4464298, at *2 (FMC July 29, 2020) (quoting *APM Terminals North Am., Inc. v. Port Auth. of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009)).

The Commission’s policies, its Rules of Practice, and the Administrative Procedure Act all encourage settlements. As the ALJ recognized in *Old Ben Coal Co. v. Sea-Land Services, Inc.*, 21 FMC 505, 512, 18 S.R.R. 1085, 1091 (ALJ 1978), quoting 15A Am. Jur. 2d. 777-778:

The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the Parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Evaluating this Joint Motion to approve the Agreement entails examining whether it “reflects careful consideration by the parties of a variety of factors, including the relative strengths of their positions weighed against the risks and costs of continued litigation.” *APM Terminals N. Am., Inc.*, 31 S.R.R. at 636 (quoting *Delhi Petroleum Pty. Ltd.*, *supra*, 1988 WL 340657 at *7, 24 S.R.R. 1129, 1134 (Aug. 12, 1988)). The Commission reviews settlement agreements to ensure that they do not contravene any law or public policy, and are free of fraud, duress, undue influence, or mistake, or other defects which might make them not subject to approval. The primary factor to be considered, however, is the FMC’s “strong and consistent policy of encouraging settlements” *APM Terminals*, *supra*, 31 S.R.R. at 625 (quoting *Inlet Fish Producers, Inc.*, 29 S.R.R. at

978).

“Settlement is strongly encouraged in administrative proceedings and is embodied in the Administrative Procedure Act (APA) and in the Commission’s precedent and rules.” *SSA Terminals, LLC v. City of Oakland*, Dkt. No. 09-08, 2013 WL 9808691 (FMC Sep. 3, 2013) (citing *Behring Int’l, Inc.*, 20 S.R.R. 1025, 1032-1033 (ALJ 1981); *Pennsylvania Gas & Water Co. v. Federal Power Comm’n*, 463 F.2d 1242, 1247 (D.C. Cir. 1972)). The Commission favors settlements that “result in a savings of time for the parties, the lawyers, and the courts and it is thus advantageous to judicial administration.” *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1092 (1978).

In this action, the Parties, both sophisticated corporate entities, with the advice and assistance of their respective counsel, arrived at the Agreement through arm’s length negotiations and support this Joint Motion along with the relief that it seeks. The Agreement does not contravene any law or public policy and is neither unjust nor discriminatory. It does not contemplate any adverse effects on any third parties or the shipping public. Instead, the Agreement is a fair and reasonable resolution of the disputes between the Parties and reflects their desire to resolve their issues without the need for costly and uncertain litigation and resolves all outstanding matters relating to this proceeding.

III. REQUEST FOR CONFIDENTIAL TREATMENT AND LEAVE TO FILE UNDER SEAL

The FMC routinely affords confidential treatment to settlement agreements under 46 C.F.R. § 502.5, recognizing that they “often contain sensitive commercial information that should be protected from public disclosure.” *D.F. Young, Inc. v. NYK Line (N. Am.) Inc.*, Dkt. No. 16-02, 2018 WL 2411779, at *2, 1 F.M.C.2d 135, 136-37 (FMC May 22, 2018). “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have

honored such requests.” *Marine Transp. Logistics, Inc. v. CMA-CGM (Am.) LLC*, Dkt. No. 18-07, 2020 WL 948582, at *3 (FMC Feb. 18, 2020) (quoting *Al Kogan v. World Express Shipping, Transp. and Forwarding Servs., Inc.*, Dkt. No. 00-04, 29 S.R.R. 68, 70 n.7 (ALJ Dec. 14, 2000)).

Under the terms of the Agreement, the Parties must keep the terms of the Agreement confidential. This confidentiality requirement is a material term of the Agreement. This Agreement is the result of confidential commercial negotiations between the Parties, and the Parties therefore respectfully request leave to file the Agreement under seal for review and approval, and that the Agreement thereafter continue to be afforded confidential treatment by the FMC.

Additionally, because the entire Agreement is confidential, the Parties have not filed a “public version.” Commission precedent provides that settling parties need not file a public version of a settlement in such circumstances. *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Dkt. No. 13-07, 2015 WL 1928868, at *6 (FMC Apr. 14, 2015). Where, as here, the Parties “want to maintain confidentiality of the Confidential Settlement Agreement as it contains terms setting out the settlement amount, as well as terms governing the release of all claims related to the controversy involved” and there is no “public interest in disclosure of the settlement amount or the terms of the release of the involved claims, that outweighs the [p]arties’ interest in maintaining the confidentiality of these terms,” the agreement should be held confidentially. *Id.* at *7.

IV. CONCLUSION

The Agreement comprehensively addresses the issues relating to the above-referenced proceeding and meets the Commission's well-established criteria for approval of agreements settling administrative litigation. Accordingly, for the reasons set forth herein, the Parties respectfully request approval of their Agreement and that the Presiding Officer designate the Agreement as Confidential and keep it under seal. Upon Complainant’s receipt of the settlement

proceeds, Claimant will file a Motion for Dismissal of this Action with Prejudice.

Dated: August 11, 2026

Respectfully Submitted,

HOLLAND & KNIGHT LLP

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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Dated: August 11, 2026

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